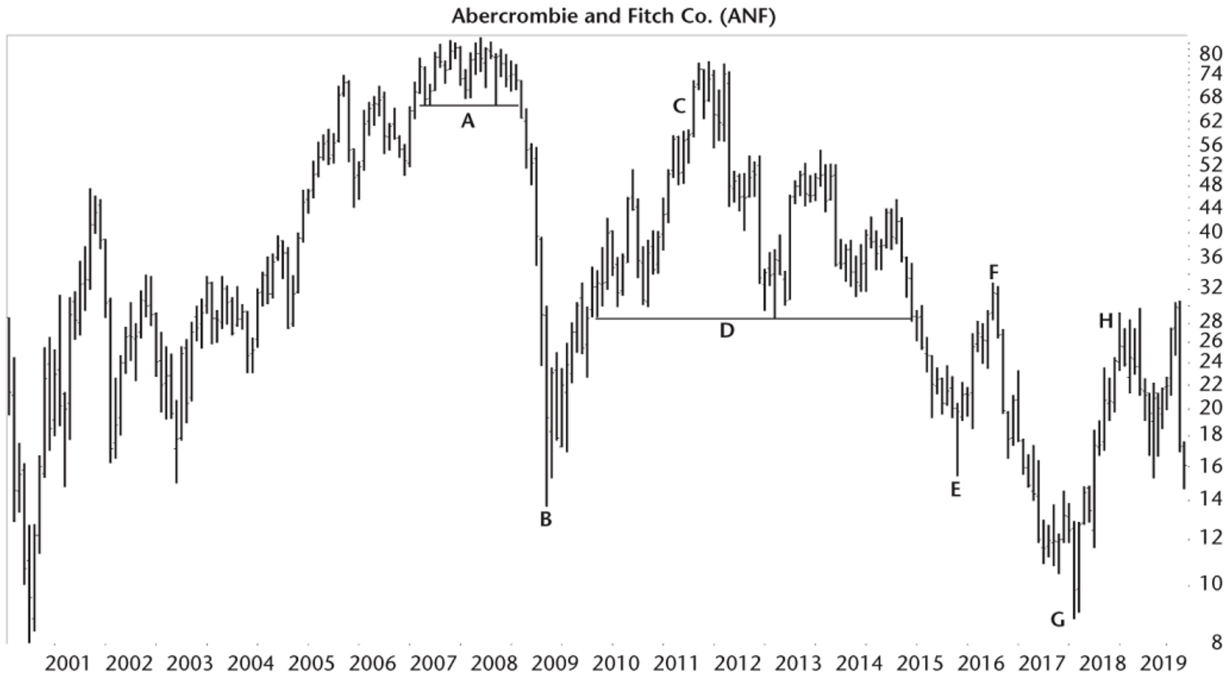

Figure 18.2 Two cloudbanks appear on this chart (A and D), with the first one leading to the 2007–2009 bear market.

Consider the cloud base as the normal price of the stock. The big plunge that happens after the cloud represents an anomaly. The cause might be a bear market, or it might be something else (like disappointing earnings). You want to be sure (as much as you can, anyway) that the stock will recover back to the cloudbank. If the cause is a bear market, then a bull market should turn things around and support the stock as price recovers.

Plunge. The stock makes a large drop (bottoms at B, E, and G). The drop is often swift, taking price down substantially. I use a 40% *minimum* drop because I want to make a large gain on the recovery. I discard clouds with drops less than 40%.

Look at the drop from A to B. In the 2007–2009 bear market, price takes about half a year before it hits bottom at B. Then it takes over two years to recover to the base of the cloudbank (C).

After cloudbank D, the stock bottoms at E and returns to F. I don't consider E to be the bottom of this pattern, even though it represents a drop of 46%. It just looks like F is a “pullback” (which is a chart pattern) before the downward move resumes.